Minutes of the Meeting held On January 4, 2006

Attending Members: Ron Snow (Chairman); Gerald Schiefer (VC); Mary Esther Putnam; Dall Winn, Ryon Gardner

Also Present: Steve Robinson (Fire Chief), George Cropper (Treasurer) and Beverly Udell (Secretary)

Guests: Fred Pendleton, John Willie (County Office), Dave Patterson (County Attorney), Julie Cropper

1. General Business: a/b. Welcome - The meeting was called to order at 6:07 PM by Chairman Ron Snow and the Pledge of Allegiance was said.

c. Welcome Board Members - The committee welcomed new Board Member Dall Winn and congratulated Ryon on his reinstatement.

d. Discussion with County Representatives John Willie and Dave Patterson

* Ron asked Dave and John whether or not we could change the PVSSD Charter in order to give the Board more authority to help or answer questions for community members who come to the Board seeking assistance. Dave responded that there are strict categories that any Special Service District has to fall under, which he then listed with the examples being water, sewer and fire, roads, etc. Ron asked if we took on some of those categories, such as the roads, would that mean that it would be the Boards responsibility to handle such things as snow removal and road upkeep. Dave answered "Yes", but that we should contract out for such services. Currently the PVSSD doesn't have the authority to handle any other things than Fire Department issues. A question was then asked about us taking on a category like law enforcement, but Dave answered that while we could certainly strive to expand the roles of the PVSSD, law enforcement wasn't even one of the categories on the list.

* The next subject asked of Dave and John was to tell us what the options and obligations were involved in increasing the fee structure. Dave said that to increase the fees, we had to 1) Have a public hearing with notice given either by an ad in the paper (with at least 7 days notice) or by direct mailing to each property owner. Once we held the public hearing, then we would just need to make sure we had the fee increase listed as an agenda item, so we could officially vote in the increase and make it a matter of record. Ron asked about direct mailing, and besides using the letter for the purpose of notice for the public hearing, could we also use it to as best we could thoroughly inform the property owners of why we were going after an increase. Dave answered that we certainly could do that. The more we informed community members, the better.

* Next Dave and John took a few minutes to educate the Board about the option of instituting an "Impact Fee" instead of, or in addition to raising our annual fee structure. They said that the Impact Fee amount would be something that was established by the Board, and be paid by people building new homes in the valley. This could generate quite a bit of our needed funds, but couldn't be used for general operating expenses. Monies generated by an Impact Fee had to be used for a specific purpose that was set up ahead of time. Ryon added that currently new home builders in the valley are already paying an Impact Fee of $1,500.00 to the water company. If we decided to pursue something like this, an analysis would need to be done to determine the need for the money, as well as how much we intended to try to raise. We would have to base the amount by the facts of the analysis. Dave also said he would be happy to help in any way he could to educate us on the process, including giving us an example of what another down did. Mary Esther asked what part Dave would be able to play in helping us, versus what should we be doing. Dave answered that he could provide examples, tell us what the law says, give us direction, but that we would have to do all the actual legwork. Ron then asked if we could do both - raise our fees and institute an Impact Fee? The answer was "yes".

* Impact fees - we need to project costs and future growth. Money can ONLY be put towards what we say it will be put towards. It can be used for buildings (including a new bay or meeting room additions for the current fire department building), equipment, special projects, or whatever else we tagged it for - just not for general operating expenses. It has to be used for projected items and can not be just kept in reserves. It has to be used in a certain amount of time - say 6 years - or monies need to be returned to the home owners that paid it. Steve asked how long it would take to get an Impact Fee in place. The answer was as quick as a few months, depending also of course on how fast we wanted to do the legwork.

* Dave said that Veyo has so far received $17,000 from impact fees just in the last 6 months or so. He added that with the prospective growth in Pine Valley, it would be a shame for Pine Valley not to capitalize on some of that growth for our needed money. The new home builders will be capitalizing on what we have already achieved in the valley, so it would be a win-win situation. As far as our regular annual fee assessment - as stated earlier we need to come up with a proposal, post a public notice (and/or send out a letter), have a public hearing, then a vote. Dall and Ron both agreed that it only makes sense that we should exercise both options of increasing our annual fee structure and instituting an Impact Fee.

* Another thought proposed by John was that we might want to consider a Mill Levy, which might also somewhat curtail the sizes of homes being built in Pine Valley. But on the flip side, based on the wealth of the people building those humongous homes, a Mill Levy probably wouldn't faze them a bit. * Mary Esther asked when we could get with Dave to get the ball rolling. Dave said he would be happy to send information to Mary Esther. Gerald then reiterated in the form of a question - could we do all 3 options? Mill Levy, fee increase and Impact Fees OR would we only be able to pick one of them? Dave answered that we could do all three, but that we should probably form a committee to assess our needs and then go from there. Steve reminded everyone that he already passed out during previous meetings a report of the 1, 5, and 10 year plans for the fire department that we could easily use towards assessing our needs.

* Gerald then told Dave and John how much we appreciated their assistance, as well as how grateful we were to have the County Commissioners come up earlier in the afternoon to view some of the problems and concerns of Pine Valley.

f. Board Member Reports: * Ron - None. * Mary Esther - The web site domain has sent notices saying that payment for it is due in February. Instead of Mary Esther using her credit card to pay it, Fred suggested having George write a check and mail it to them. It is due Feb. 6. * Ryon - None * Dall - None * Gerald - As the weather continues to cool and we have more storms come, we will be seeing more burning by the Forestry Department.

g. Treasurer Report: George asked Ron to formally open a budget hearing. Ron opened the hearing. Gerald asked if there were any changes to the budget since the last report. George stated that there were additions of life insurance for the fire fighters, plus a few other items that had been discussed at the last meeting. George anticipated that if we increased the fee by $50.00, that would not allow any reserves, it would just mean that we would be breaking even. Ron then said maybe we should raise it more than $50.00. There were no further comments on the budget. Mary Esther motioned to close the hearing. Gerald seconded. Gerald also motioned to approve the 2006 budget as written. Dall seconded that motion and all were in favor. * George passed out a version of our profit and loss statement for 2005. We spent about $10,000 more than we took in. Ron again mentioned (based on those figures), that if we only raise the fees $50.00, then we will still come up short. * We did get some money come in at the end of the year - the delinquent tax money came in, plus the money that Steve deposited.

g. Fire Chief's Report: Steve talked about the 5-County Association of Governments and their part in blocking grants to fire departments. Steve said that they seem to be spending the grant money on other things, such as community centers, pool repairs, etc. So we are no longer pursuing the 5-County Association as they are giving zero dollars to fire departments. * We had 8 call-outs in August for community fires, some were regarding private citizens thinking they could have fire pits. We had no EMT calls. * On Monday, Jim Barry from the State will be out to perform the pump test. * Saturday training is at 8:00 AM. * Erle told Steve that the hydrants should be flushed out each year, and even better if they were done twice a year. Steve will check with Ryon regarding this practice.

h. Fire Chief's Report: Steve told of those two deposits that he put into the account in the last month. One was a grant reimbursement of $4,000 and the other was $1,523 that we received from the County for the cleanup and burning by the creek. Steve is looking to nominate someone (in other words he needs a GOOD volunteer like Gerald) to travel to Canada to see how the new truck is coming and if all is how we want it. Once the truck in completed, Steve and George will go and pick it up. The company that is building the truck will deliver the truck to Lincoln, NE and Steve and George will have to go there, which is much better than driving it from Canada! Dall asked if the money had been transferred from FEMA yet to pay for the truck. Steve answered that FEMA doesn't pay for the truck in one lump sum, but instead they pay in payments as needed. About $15,000 will come from us as payment towards the truck. Other monies needed will be for hoses, travel expenses, etc., bringing the

total up close to $20,000. * There was one EMS call-out this month for Central. * There is Wildland training in Brookside this month. We have 5 fire fighters attending.

i. Review/Approval of the 'Minutes of The Meeting' from December 7, 2005 - Approval of the minutes was given after a date correction. Gerald moved to approve based on the correction, Mary Esther seconded the motion. All were in favor.

j. Public Comments - Julie Cropper offered to come to each PVSSD meeting the let us know if there is any news coming down the pike from County Planning Office. The Board loved that idea, so Julie will be put on the agenda for each month.

At 7:02 PM, Ryon moved for the meeting adjournment. Gerald seconded.
The next Board meeting will be held on Wednesday, February 1, 2006.